

***THE SAN JACINTO UNIFIED SCHOOL DISTRICT ANNUAL  
AND FIVE-YEAR REPORTABLE FEES REPORT FOR FISCAL  
YEAR 2014-2015, IN COMPLIANCE WITH GOVERNMENT  
CODE SECTIONS 66006 AND 66001***

Government Code Sections 66006 and 66001 provide that the San Jacinto Unified School District (“District”) shall make available to the public certain information and adopt prescribed findings relative to school facility fees adopted pursuant to Education Code Section 17620 and Government Code Sections 65995 (“Level 1 Fees” and “Commercial/Industrial Fees” collectively, “Statutory School Facility Fees”) and Government Code Sections 65995.5, 65995.6 and 65995.7 (“Level 2 Fees” and “Level 3 Fees” collectively, “Alternative School Facility Fees”). The foregoing fees are collectively also referred to as reportable fees (“Reportable Fees”). The described information and findings contained in this Annual and Five-Year Reportable Fees Report (“Report”) relate to Reportable Fees that the District received, expended or may expend in connection with school facilities (“School Facilities”) in order to accommodate additional students from new and other residential development as well as commercial and industrial development (collectively referred to as “Development”). The Reportable Fees only include money in possession of the District and does not include letters of credit, bonds, or other instruments to secure payment of Reportable Fees at a future date. The Reportable Fees have not been levied, collected, or imposed for general revenue purposes.

**ANNUAL REPORT**

In accordance with Government Code Section 66006, the District provides the following information for fiscal year 2014-2015:

**A. Description of the Type of Reportable Fees in the Account or Sub-Account(s) of the District:**

The Reportable Fees consist of Statutory School Facility Fees. The Reportable Fees were deposited in the Capital Facilities Fund (Fund 25) (“Fund”), a separate capital facilities account or fund in a manner to avoid any commingling of the Reportable Fees with other revenues and funds of the District, except for temporary investments. As this Report provides, the Reportable Fees and any interest income earned by moneys in the Fund have been expended as set forth herein solely for the purpose for which the Reportable Fees were originally collected. (Government Code Section 66006(a).)

**B. Reportable Fees Information for the Fund:**

1. Within 180 days after the last day of each fiscal year, the District is required to make available to the public certain information. As set forth below, the District provides the following information for the Fund for the fiscal year 2014-2015 pursuant to Government Code Section 66006(b)(1).

**a. Amount of the Reportable Fees:**

The Reportable Fees were authorized to be levied on Development by the Board of Trustees (“Board”) of the District at the time the Reportable Fees were adopted. As shown in the District’s Fee Justification Study (“FJS”) the Reportable Fees only partially mitigate the impacts to the District caused by Development because the Reportable Fee amounts do not adequately fund the District’s School Facilities needs resulting from additional Development within the District. (Government Code Section 66006(b)(1)(A).)

**Statutory School Facility Fees (Government Code Section 66006(b)(1)(B))**

|                               |                         |
|-------------------------------|-------------------------|
| Level 1 Residential           | \$ 3.36 per square foot |
| Level 1 Commercial/Industrial | \$.54 per square foot   |

From July 1, 2014 to June 30, 2015

**b. Beginning and Ending Balance, Reportable Fees Collected, Interest Earned and Expenditures of the Fund (Government Code Section 66006(b)(1)(C) and (D)):**

|                                     | Reportable Fees       |
|-------------------------------------|-----------------------|
| Beginning Balance (07/01/14)        | \$643,028.48          |
| Amount of Reportable Fees Collected | \$556,684.40          |
| Interest Earned                     | \$3,067.50            |
| Expenditures                        | < \$67,148.85>        |
| <b>Ending Balance (06/30/15):</b>   | <b>\$1,135,631.53</b> |

**c. Identification of Each District Project on Which Reportable Fees Were Expended Including the School Facilities Project (“Project”) Total and Percentage of the Project Cost that was Funded with Reportable Fees (Government Code Section 66006(b)(1)(E)):**

The foregoing information<sup>1</sup> is set forth below.

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<sup>1</sup> Pursuant to Education Code 17620(a)(5), Level 1 Fees collected may also be spent on the following nonfacility costs: the costs of conducting a School Facilities Needs Analysis and/or Fee Justification Study; and preparing the Annual and Five-Year Report. In addition, a school district may also retain “an amount not to exceed, in any fiscal year, three percent of the fees collected in that fiscal year. . . .” The three percent amount is for the reimbursement of administrative costs incurred in collecting the fee. For school districts that levy a Level 2 Fee, the three percent amount is calculated only on the amount of the Level 1 Fees that are collected.

| <b>Project Description</b>                                                                                                  | <b>Project Total</b> | <b>Percentage of Project Total Funded w/ Reportable Fees</b> |
|-----------------------------------------------------------------------------------------------------------------------------|----------------------|--------------------------------------------------------------|
| HEMET UNIFIED SCHOOL DISTRICT-Enrollment projections for 2014-2015                                                          | \$8,640.00           | 100%                                                         |
| BOWIE, ARNESON WILES & GIANNONE-Preperation of annual Five Year Report                                                      | \$1,041.60           | 100%                                                         |
| PRESS ENTERPRISE-Advertising for SFNA, School Fee Justification Study                                                       | \$1,555.20           | 100%                                                         |
| JOHN R. BYERLY – New Middle School #4 Geotechnical Investigation                                                            | \$46,500.00          | 100%                                                         |
| THOMSEN COMPANY, INC. – New Middle School #4 Topographic Survey                                                             | \$570.00             | 100%                                                         |
| EASTERN MUNICIPAL WATER DISTRICT – New Elementary School Megan Cope Project Close Out related to new growth within district | \$503.75             | 100%                                                         |
| DEPARTMENT OF TOXIC SUBSTANCES – New Middle School #4                                                                       | \$427.52             | 100%                                                         |
| CLIFFORD MOSS – Strategic Planning <sup>2</sup>                                                                             | \$7,910.78           | 100%                                                         |

- d. When the District Accumulates Sufficient Funds to Complete Project(s) for Which It Previously Identified as Intending to Spend Reportable Fees,<sup>3</sup> the District Needs to Identify the Approximate Date It Will Commence Construction on Such Project(s) (Government Code 66006(b)(1)(F)):**

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<sup>2</sup> These transactions have been reversed and such reversal will be reported in the District's fiscal year 2014/2015 Annual and Five Year Report

<sup>3</sup> The District is required to make such identification pursuant to Government Code Section 66001(a)(2). The identification may have been done by reference to a capital improvement plan or general plan or may be made in other public documents that identify the public facilities for which the fee is charged.

The District has determined that for fiscal year 2014-2015, Reportable Fees and other sources of funding were not sufficient to complete the financing of any Project.

| <b>Project</b> | <b>Estimated/Actual Commencement Date</b> |
|----------------|-------------------------------------------|
| <b>N/A</b>     |                                           |
|                |                                           |
|                |                                           |
|                |                                           |

**e. Description of Each Interfund Transfer or Loan Made From the Fund (Government Code Section 66006(b)(1)(G)):**

**Interfund Transfers:**

| <b>Description of Project for which Interfund Transfer was Used</b>          | <b>Fund(s) to Which Reportable Fees Were Transferred</b> | <b>Amount Transferred</b> | <b>Date of Expenditure</b> | <b>Date of Transfer</b> |
|------------------------------------------------------------------------------|----------------------------------------------------------|---------------------------|----------------------------|-------------------------|
| GEOSPECTIVE TECHNOLOGIES – School locator and boundaries                     | GENERAL FUND                                             | \$11, 904                 | 9/22/14                    | 12/19/14                |
| TRUE NORTH RESEARCH- Bond Consultant                                         | GENERAL FUND                                             | \$18,685                  | 8/8/14                     | 12/19/14                |
| 13/14 Transfer GEOPEXTRIVE TECHNOLOGIES <sup>4</sup> – School Locator System | GENERAL FUND                                             | \$18, 840                 |                            | 12/19/14                |
| 13/14 Transfer TRUE NORTH RESEARCH <sup>4</sup> – Bond Consultant            | GENERAL FUND                                             | \$19,786                  |                            | 12/19/14                |
| 13/14 Transfer CLIFFORD MOSS <sup>4</sup> – Strategic Planning               | GENERAL FUND                                             | \$20,362                  |                            | 12/19/14                |

<sup>4</sup> Fiscal year 2013/2014 school fee inter fund transfers were reversed in the 2014/2015 fiscal year returning funds fund 25.

**Interfund Loans:**

| Description of Project for Which Interfund Loan was Used | Fund(s) to Which Reportable Fees Were Loaned | Amount Loaned | Date Loan Repaid | Rate of Interest |
|----------------------------------------------------------|----------------------------------------------|---------------|------------------|------------------|
|                                                          |                                              |               |                  |                  |

**f. Refunds and Allocations (Government Code Section 66006(b)(1)(H), 66001(e), (f)):**

When the District has determined that sufficient funds have been collected to complete financing on incomplete Project(s) and the Project remains incomplete, the District is required to identify the approximate date by which the construction of the Project(s) will commence. If the District fails to timely identify the approximate date by which the construction of the Project(s) will commence, then the District must refund the unexpended portion of the Reportable Fees and any interest accrued thereon to the then current record owner(s).

|                                       |        |
|---------------------------------------|--------|
| <b>Refund</b>                         | \$ N/A |
| <b>Less Admin. Costs of Refunding</b> | \$     |
| <b>Net Refund</b>                     | \$     |

2. The District will review the Report at the next regularly scheduled public meeting ("Meeting") not less than 15 days after the Report is made available to the public. Notice of the time and place of the Meeting, including the address where the Report may be reviewed, will be mailed at least 15 days prior to the Meeting, to any interested party who filed a written request with the District for mailed notice of the Meeting.<sup>5</sup>

**FIVE-YEAR REPORT**

In accordance with Government Code Section 66001, the District provides the following information for fiscal year 2014-2015:

For the fifth fiscal year following the first deposit into the Fund, and every five years thereafter, the District is required to make all of the following findings with respect to that

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<sup>5</sup> Any written request for mailed notices shall be valid for one year from the date on which it is filed unless a renewal request is filed. Renewal requests for mailed notices shall be filed on or before April 1 of each year. The legislative body may establish a reasonable annual charge for sending notices based on the estimated cost of providing the service.

portion of the Fund remaining unexpended, whether committed or uncommitted. At the close of the fiscal year 2014-2015, there remained \$1,135,631.53 in the Fund (Government Code Section 66001(d):

**A. Identification of All Projects for Which the Reportable Fees Will be Expended in the Future:**

The purpose of the Reportable Fees imposed and collected on Development within the District is to fund additional School Facilities required to serve the students of the District generated by Development within the District. Specifically, the Reportable Fees will be used for the construction and/or acquisition of additional School Facilities, remodeling existing School Facilities to accommodate new growth from new development including, but not limited to, adding additional classrooms, technology and acquiring and installing additional portable classrooms. (Government Code Section 66001(d)(1)(A)).

Further information regarding such Project(s) is set forth in the following chart:

| <b>Project Name</b>           | <b>Source of Funds<sup>6</sup></b> | <b>Amount of Anticipated Funding From Each Source<sup>7</sup></b> | <b>Project Total<sup>8</sup></b> |
|-------------------------------|------------------------------------|-------------------------------------------------------------------|----------------------------------|
| Ellen Ochoa Elementary School | State Funding                      | \$10,000,000                                                      |                                  |
|                               | Local Bond Funds                   | \$0                                                               |                                  |
|                               | Reportable Fees                    | \$300,000                                                         |                                  |
|                               | Total                              |                                                                   | \$20,000,000*                    |
| New High School No. 2         | State Funding Hardship             | \$30,000,000                                                      |                                  |
|                               | Local Bond Funds                   | \$0                                                               |                                  |
|                               | Reportable Fees                    | \$100,000                                                         |                                  |
|                               | Total                              |                                                                   | \$80,000,000*                    |
| New Middle School #4          | State Funding                      | \$16,401,146                                                      |                                  |
|                               | Local Bond Funds                   | \$16,401,146                                                      |                                  |
|                               | Reportable Fees                    | \$100,000                                                         |                                  |
|                               | Total                              |                                                                   | \$32,901,293                     |
|                               | Total                              | \$73,302,292                                                      | \$132,901,293                    |

<sup>6</sup> See chart in Paragraph C below for applicable sources of funds.

<sup>7</sup> The total in this column should equal the total in Line 11 of the chart in paragraph C below.

<sup>8</sup> The total in this column should equal the total in Line 12 of the chart in paragraph C below.

**B. Demonstration of a Reasonable Relationship Between the Reportable Fees and the Purposes for Which They are Charged:**

As shown in the FJS and/or SFNA, there is a roughly proportional, reasonable relationship between the Development upon which the Reportable Fees are charged and the need for additional School Facilities by reason of the fact that additional students will be generated by additional Development within the District, and the District does not have student capacity in its existing School Facilities to accommodate these new students. Furthermore, the Reportable Fees charged on Development will be used to fund School Facilities which will be used to serve the students generated from Development. The Reportable Fees do not exceed the costs of providing such School Facilities for new students. (Government Code Section (d)(1)(B)).

**C. Identification of All Sources and Amounts of Funding Anticipated to Complete Incomplete Projects Identified by the District in Paragraph A Above and Approximate Date Funding Is Expected to Be Deposited. (Government Code Section 66001(d)(1)(C) and (D):**

| Source of Funding |                                                                | Amount of Funding Anticipated to Complete Incomplete Projects | Approximate Date Funding Expected to Be Deposited |
|-------------------|----------------------------------------------------------------|---------------------------------------------------------------|---------------------------------------------------|
| 1.                | State Funding Program Funds                                    | \$30,401,146                                                  | 2017, 2018                                        |
| 2.                | State Hardship Funds                                           | \$30,000,000                                                  | 2017                                              |
| 3.                | Community Facilities Districts                                 | \$0                                                           |                                                   |
| 4.                | Redevelopment Pass-Through Agreements                          | \$0                                                           |                                                   |
| 5.                | Reportable Fees                                                | \$500,000                                                     | Over the next 5 years                             |
| 6.                | Mitigation Payments                                            | \$0                                                           |                                                   |
| 7.                | Certificates of Participation                                  | \$0                                                           |                                                   |
| 8.                | Local Bonds                                                    | \$16,401,146                                                  | 2016                                              |
| 9.                | SB-201 Fees (Government Code Section 65970, <i>et seq.</i> )   | \$0                                                           |                                                   |
| 10.               | Total Funding (Add Lines 1 – 9 above)                          | \$77,302,292                                                  |                                                   |
| 11.               | Total Costs of All Incomplete Projects                         | \$132,901,293                                                 |                                                   |
| 12.               | Minus Total of All Funding Sources (Enter from Line 10 above). | \$77,302,292                                                  |                                                   |
| 13.               | Unfunded Balance (Line 12, minus Line 13)                      | \$55,599,001                                                  |                                                   |